

Oxford Cambridge and RSA

Practice Paper – AS Level in Economics

H060/02 Macroeconomics (Moderate Level)

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator

Centre number	
Candidate number	
First name(s)	
Last name	

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer all the questions in Section A and Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 60.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document is a practice paper at Moderate level, based on the OCR H060/02 specification.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions in this section.

Each question is worth 1 mark.

1. Structural unemployment refers to:

- A fluctuations in employment caused by the business cycle
- B a mismatch of skills between unemployed workers and available jobs
- C workers between jobs who are searching for new employment
- D people who choose not to work despite jobs being available

Your answer [] [1]

2. A progressive tax system is one in which:

- A the rate of tax paid stays the same as income rises
- B the proportion of income paid in tax increases as income rises
- C the proportion of income paid in tax falls as income rises
- D tax revenue increases automatically with economic growth

Your answer [] [1]

3. If the Bank of England cuts interest rates, which is most likely to occur?

- A An increase in consumer spending
- B An increase in the saving ratio
- C A reduction in borrowing by firms
- D A reduction in aggregate demand

Your answer [] [1]

4. A country has a current account deficit when:

- A government spending exceeds tax revenue
- B tax revenue exceeds government spending
- C the value of exports is greater than the value of imports
- D the value of imports is greater than the value of exports

Your answer [] [1]

5. Stagflation is best described as:

- A a sustained fall in the general price level
- B a fall in the rate of inflation
- C a combination of high inflation and high unemployment
- D rising prices accompanied by rapid economic growth

Your answer [] [1]

6. You earn £20 000 a year. The first £12 500 is tax-free; the rest is taxed at 20%.

What is your average rate of income tax?

- A 7.5%
- B 12.5%
- C 20.0%
- D 37.5%

Your answer [] [1]

7. The table shows real GDP and population for a country.

Year	Real GDP (2010 prices)	Population
2010	\$100 million	4 million
2020	\$150 million	5 million

What is the percentage change in real GDP per capita from 2010 to 2020?

- A Increase of 20%
- B Increase of 25%
- C Increase of 50%
- D Increase of 67%

Your answer [] [1]

8. Which of the following is most likely to increase a country's economic growth in the short term?

- A An appreciation of the country's currency
- B A depreciation of the country's currency
- C An increase in income tax rates
- D A fall in business confidence

Your answer [] [1]

9. A UK importer buys goods from the eurozone for €15 000 and sells them in the UK for £14 500. If the exchange rate at the time of purchase was £1 = €1.20, what is the profit or loss?

- A Loss of £500
- B Loss of £3 500
- C Profit of £2 000
- D Profit of £2 500

Your answer [] [1]

10. A proportional tax is one where:

- A the % of income paid in tax falls as income rises
- B the % of income paid in tax rises as income rises
- C the % of income paid in tax remains constant at all income levels
- D the tax is paid only on certain goods and services

Your answer [] [1]

11. Which of the following will cause aggregate demand to shift to the right?

- A An increase in income tax rates
- B A fall in consumer confidence
- C A reduction in government spending
- D A fall in the rate of interest

Your answer [] [1]

12. Expansionary monetary policy could include:

- A raising the bank rate
- B selling government bonds
- C cutting the bank rate
- D increasing income tax

Your answer [] [1]

13. Which of the following is an example of a supply-side policy?

- A A reduction in the rate of interest
- B An increase in government spending on infrastructure investment
- C An increase in social security benefits
- D Quantitative easing

Your answer [] [1]

14. The table shows the consumer price index for a country.

Year 1: 100.0 Year 2: 103.5 Year 3: 106.0

What is the inflation rate in Year 3?

- A 2.4%
- B 2.5%
- C 3.5%
- D 6.0%

Your answer [] [1]

15. A country's current account had the following components (\$m):

Trade in goods: -40 000 Trade in services: +18 000

Primary income: -6 000 Secondary income: -4 000

What was the value of the current account balance?

- A -\$32 000m
- B -\$22 000m
- C +\$32 000m
- D -\$68 000m

Your answer [] [1]

SECTION B

Answer all the questions in this section.

Vietnam's Economic Transformation

Vietnam has been one of Asia's fastest-growing economies for the past decade. Real GDP growth averaged around 6.5% per year between 2010 and 2019. Foreign Direct Investment (FDI) has been a major driver of this growth, with multinational companies from Japan, South Korea and the United States setting up manufacturing facilities for electronics, textiles and footwear across the country.

In 2020, despite the global pandemic, Vietnam's economy still expanded by 2.9% – one of the few countries to record positive growth. By 2020, FDI inflows had reached \$20 billion, and the manufacturing sector accounted for around 25% of GDP.

The Vietnamese government has proposed a budget for 2022 that would see public expenditure increase by 4%. State employees were promised a 4% pay rise, although workers' representatives argue this represents no real gain in their living standards.

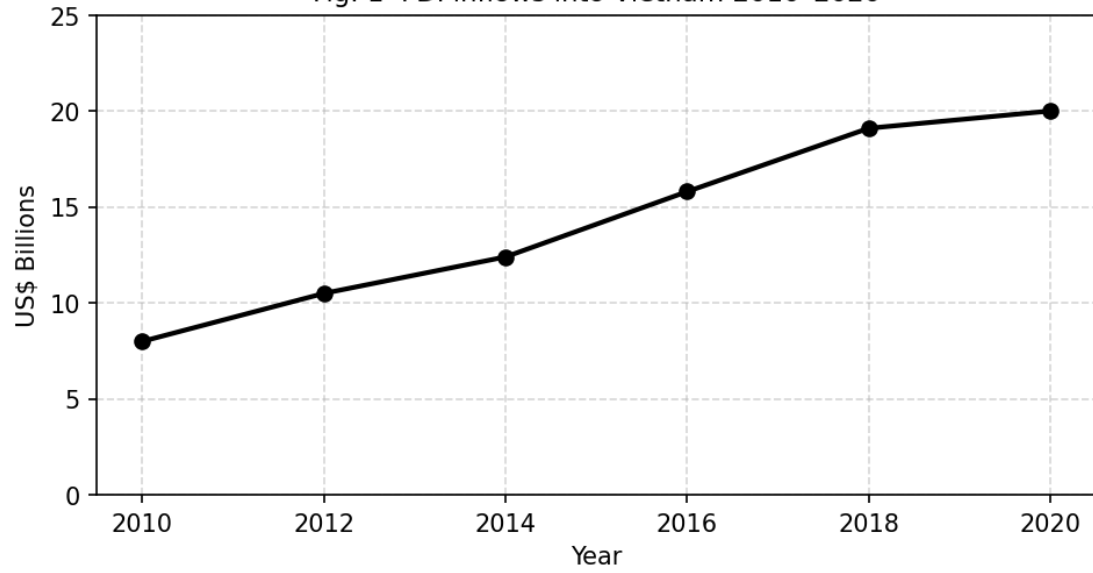
The official unemployment rate is low at 2.5%, but youth unemployment is much higher at around 7.4%. Underemployment in rural areas remains a significant problem. The International Labour Organisation (ILO) estimates that 1.2 million workers in Vietnam are underemployed.

Vietnam's currency, the dong (VND), has gradually depreciated against the US dollar over the past decade. The State Bank of Vietnam intervenes regularly in the foreign exchange market to manage the rate of depreciation. Inflation, which peaked at 18.7% in 2011, has stabilised to around 3% in recent years.

Vietnam exports electronics, textiles, footwear and agricultural products, and is a member of several free trade agreements, including the CPTPP and the EU–Vietnam FTA. However, rising wages and increased competition from other Southeast Asian countries threaten Vietnam's competitive advantage. Income inequality remains significant: the richest 20% of households earn about 8 times more than the poorest 20%.

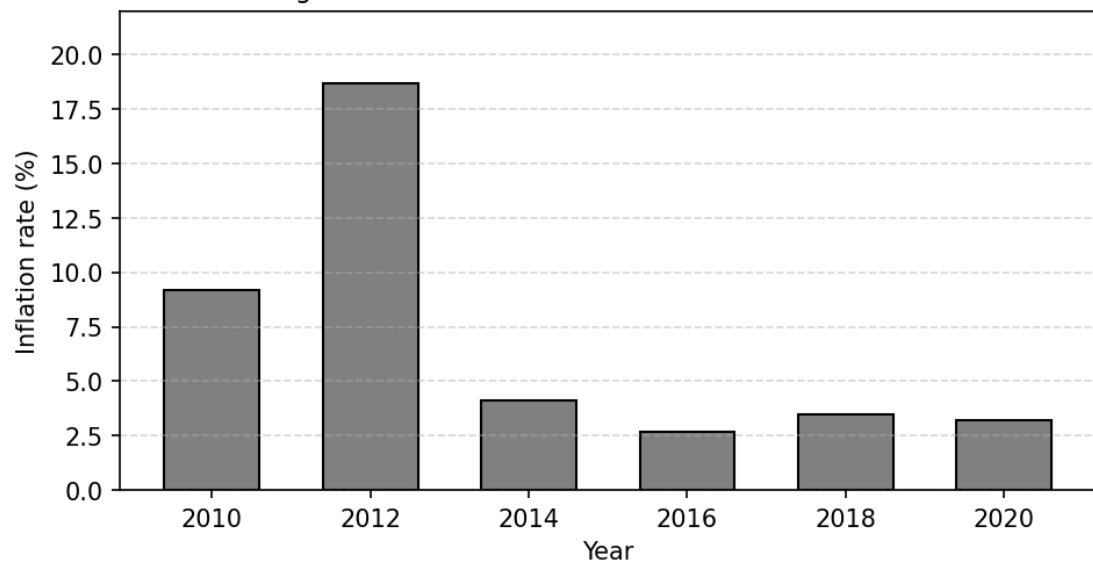
Source: Adapted from World Bank and General Statistics Office of Vietnam

Fig. 1 FDI inflows into Vietnam 2010-2020



Source: World Bank

Fig. 2 Annual inflation rate in Vietnam 2010-2020



Source: General Statistics Office of Vietnam

Answer all parts of Question 16.

16 (a) (i)

Using Fig. 1, explain the change in FDI inflows into Vietnam from 2010 to 2020.

[2]

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16 (a) (ii)

State why the 4% pay rise promised to state employees (lines 8–10) may represent "no real gain" in their living standards.

[1]

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16 (b)

Using Fig. 2, explain what happened to inflation in Vietnam between 2010 and 2014.

[2]

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16 (c)

The case study notes that FDI has been a major driver of economic growth.

Using a diagram, explain how an increase in FDI may affect economic growth in Vietnam.

[4]

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16 (d)

Using information from the case study, explain possible reasons why Vietnam's currency, the dong, has gradually depreciated against the US dollar over the past decade.

[4]

[illegible]

16 (e)

Explain the difference between economic growth and economic development.

[2]

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16 (f)*

Evaluate the advantages of free trade agreements (such as the CPTPP) to an emerging country, such as Vietnam.

[10]

[illegible]

[illegible]

SECTION C

Answer Question 17 or Question 18.

17*

The Vietnamese government has reduced the rate of corporation tax from 25% to 20% in order to attract more foreign investment.

Evaluate, using an appropriate diagram(s), the effects of this change in taxation on the Vietnamese government's ability to achieve its macroeconomic objectives.

[20]

OR

18*

The State Bank of Vietnam regularly intervenes in the foreign exchange market in order to manage the value of the dong.

Evaluate, using an appropriate diagram(s), whether central bank intervention in the foreign exchange market is beneficial for an emerging economy such as Vietnam.

[20]

Question No:

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END OF QUESTION PAPER